

Protecting Your Wealth in Good Times and Bad (New York: McGraw-Hill, 2003) There is also an explanation in my free online book, *Serious Money, Straight Talk about Investing for Retirement*, which is available as a free download at www.PortfolioSolutions.com.

Midlife Accumulators—Asset Allocation

During midlife, investors reach the halfway mark in their careers. It is a period when salaries are on the rise, and this means that the amount allocated to savings should also be increasing. It is a point in life where investors can see the future with more clarity and can use that vision to develop a strategic asset allocation that matches future retirement needs.

At this stage, the cash savings set aside for living expenses and emergencies should be extended out to 12 months, if possible. A larger emergency fund will help cover those unanticipated needs that seem to occur all too often with growing families.

Speculative investments should not grow any larger than they have been during the early-saver years and probably should start to wind down. It is dangerous to think that you will find a way to make money by speculating at this point in your life if you did not make any money by speculating when you were young.

During midlife, long-term investment accounts are growing larger, and working years are growing shorter. A balanced asset allocation is appropriate. [Figure 12-3](#) highlights the range of asset allocations that is typical for midlife accumulators. Like asset allocations for all groups, [Figure 12-3](#) represents an either-or allocation, not a to-from allocation. Do not try to shift between stocks and bonds at what seem like appropriate times. No one can time the markets.

The median asset allocation for people in midlife is 60 percent in stocks and 40 percent in fixed income. Tables 12-3 and 12-4 give basic and multi-asset-class portfolios for midlife accumulators.

During midlife, people begin to reach higher levels of earnings, which may affect their investment choices. Taxes can play a considerable role in asset allocation. If a person's income places him or her in an income tax bracket of 30 percent or more, that person should consider tax-free municipal bonds. The after-tax return from tax-free bonds will be higher